How to Ace Your YC Application

Goals of the workshop

- Understand what YC looks for in a startup
- Learn best practices to prepare your YC application
- Answer the 4 core questions successfully

What does YC look for?

Founding Team

- Has the necessary skills to build the product (software or hardware) —> not someone who will spend the money to outsource
- Unique insights about the market (previous workplace, **passion**)
- Will build the company regardless if YC invests —> extremely committed to the idea
- Equal equity split amongst cofounders (40/40/20 or 50/50)
- Unequal founders is a red flag
- Familiarity with cofounders
- Clearly say why they are not cofounders or why you are a solo founder

Market

- Got some seed funding from angels
- Look for $1B market (TAM)
- Even better to become that $1B company
- Focus on two competitors (you can say they don't have the right team or experience, but you do)
- If you are B2B focus on startups to get started (build an MVP for them) —> excited to sell

Traction

- Progress to date (velocity to prove/disprove the hypothesis)
- May not have customers or revenue
- Build the MVP or the no-code MVP
- Progress since last YC application
- 80%-90% of the batch have cofounder (solo is a disadvantage)
- Convince them that you're a person do this solo (if that's the case) —> worked the longest on it
- 'This is what we applied with. These are the learnings and pivot.'
- Show the development since the initial application
- Deep tech startups are all about 'build': IP, customer interviews

YC Application Planning

- Want to plan ahead —> get started now
- Identify strengths and risks before writing
- Be open to revisions

- Strengths:
    - Is your team uniquely qualified? Have you either studied this at school or worked on it with a job?
    - Is your data strong and compelling? Do you have IP?
    - Are you the first mover?
- Risks:
    - Is the market saturated with solutions similar?
    - Do you have data to prove your hypothesis?
    - When pitching investors or friends, what are they challenging you on?

4 Core Questions

Q1: Describe what your company does in 50 characters or less

- Character limit for a reason —> be concise
- DO not start with the problem
- OK to use popular market substitutes (e.g., 'door dash for isreal')
- Do not use industry jargon
- AirBnB:
    - Connecting people with alternative vacancies and can rent out strangers apartments
    - AirBnB is the first online marketplace that lets travelers book rooms with locals, instead of hotels

Q2: What is your company going to make? Please describe your product and what it does or will do

- What: company is making X for Y to do Z
- Why: should this product exist? Historically/Traditionally/Currently, customers needed to do X
- Value: customers now can use X to do Y
- Max about 10 sentenaces

Q3: Why did you pick this idea to work on? Do you have domain expertise in this area? How do you know people need what you're making?

- Personal experience: 'As college students, we have each personally experienced the pain of having to leave our room and walk to the store to pick something up.'
- Professional experience: 'When I founded my first startup in 2010, we needed a way to accept payments online, there was no solution locally, we had to work around using Avangate BV and create accounts in the UK.'
- Domain expertise: 'Want to commercialize my research' 'Our team also has domain expertise in building distributed global payments system with Ripple. We have already built a payments rails that taps into the liquidity in Bitcoin and Ripple markets — it reduces our cost by 50% and is 300% faster than traditional forex liquidy'
- Don't try to answer all three (focus on 1-2)
- Identify why you are uniquely equipped
- Need to establish credibility with the partner reading this —> they are the student learning from you

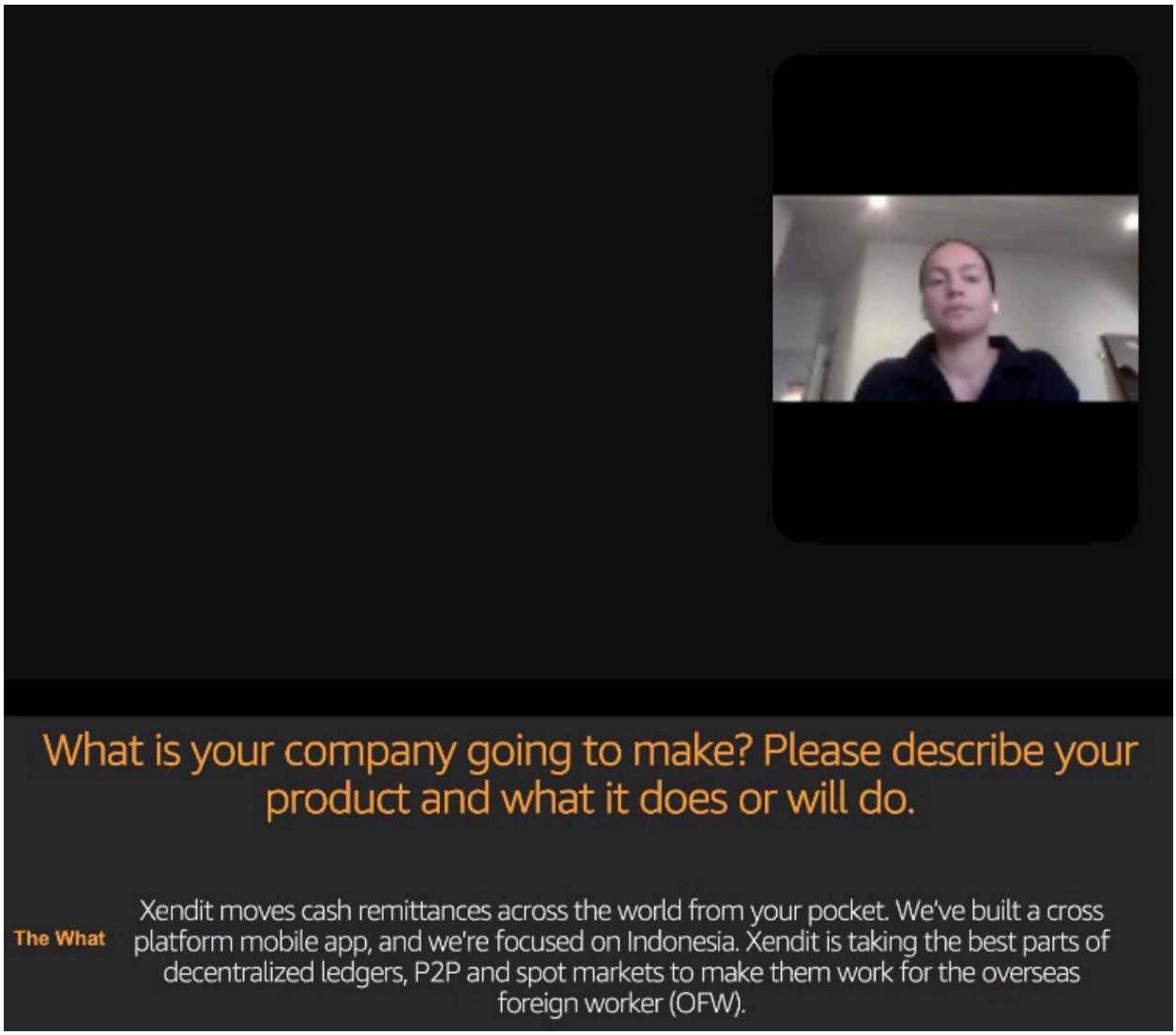
Q4: What's new about what you're making? What substitutes do people resort to because it doesn't

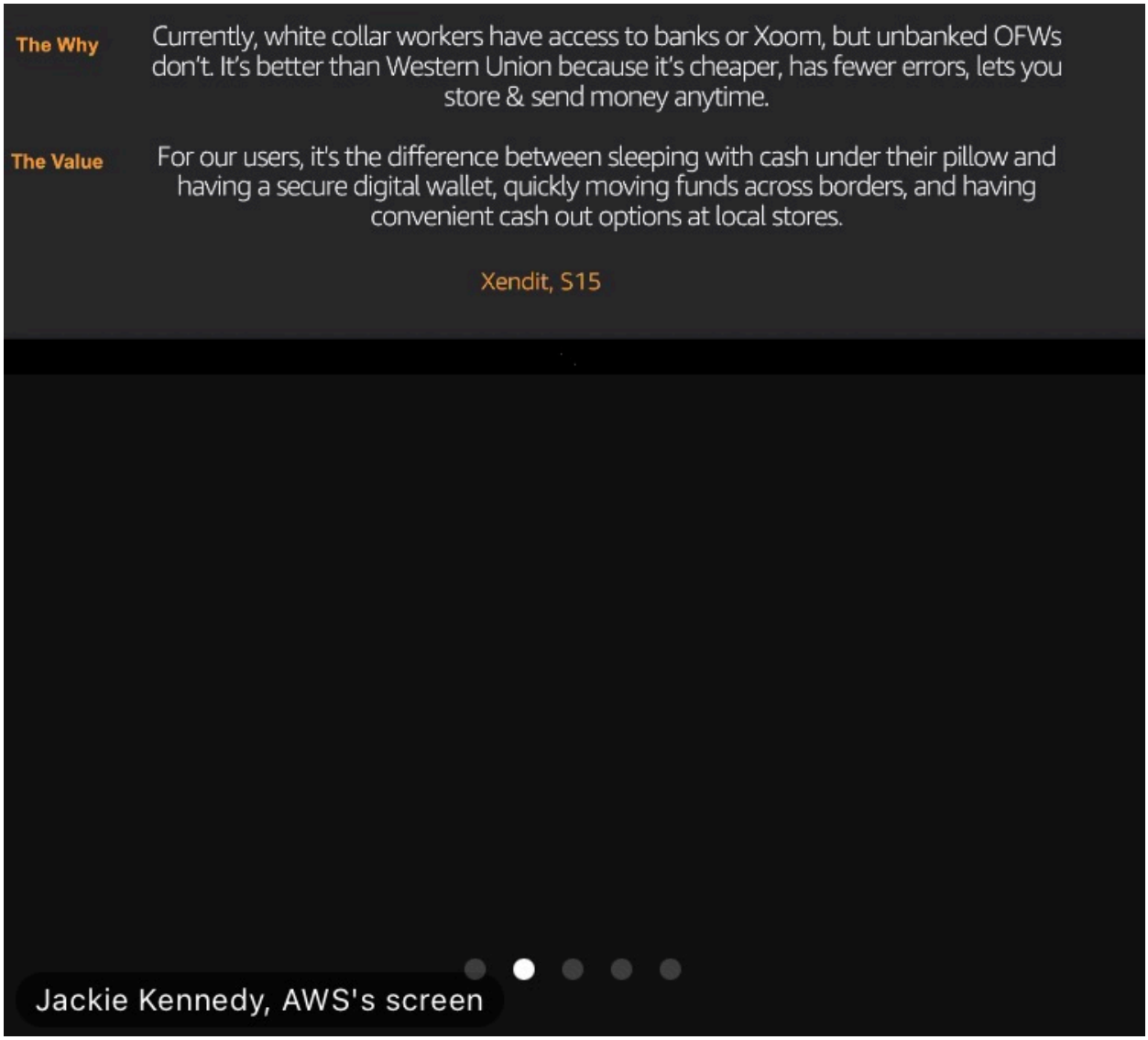
exist yet (or they don't know about it)?

- Part 1: Identify
- Part 2: Substitutes: how are their needs not being met
- Part 3: Solution (how will you solve it)

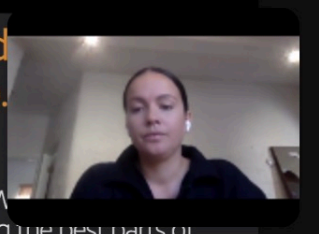
Summary:

- Based on what YC looks for in a startup, identify your strengths
- Use your strengths in answering application questions
- Use a shared doc so you can get feedback from people
- Be concise and clear and avoid language that a non-technical person cannot understand (caveat for 'deep tech or bio-tech')
- Focus on the 4 core questions




The Why
Currently, white collar workers have access to banks or Xoom, but unbanked OFWs don't. It's better than Western Union because it's cheaper, has fewer errors, lets you store & send money anytime.
The Value
For our users, it's the difference between sleeping with cash under their pillow and having a secure digital wallet, quickly moving funds across borders, and having convenient cash out options at local stores.
Xendit, S15
Jackie Kennedy, AWS's screen

What is your company going to make? Please d product and what it does or will do.



The What Xendit moves cash remittances across the world from your pocket. W platform mobile app, and we're focused on Indonesia. Xendit is taking the best parts of decentralized ledgers, P2P and spot markets to make them work for the overseas foreign worker (OFW).

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Xendit, S15

Ok, your turn.

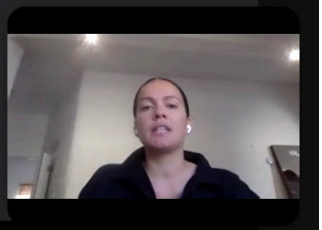
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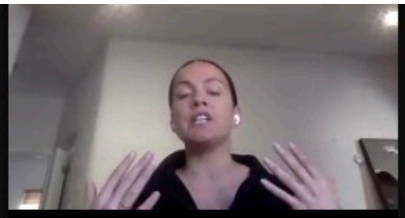
Start with 3 paragraphs

1. [Company X] is making Y to do Z

2. Currently/Historically, [customer of company x] had to use [alternative solution] to achieve Z. Z was [complex, challenging or an incomplete solution] because [].

3. [Customers of company X] can now to Z by…..





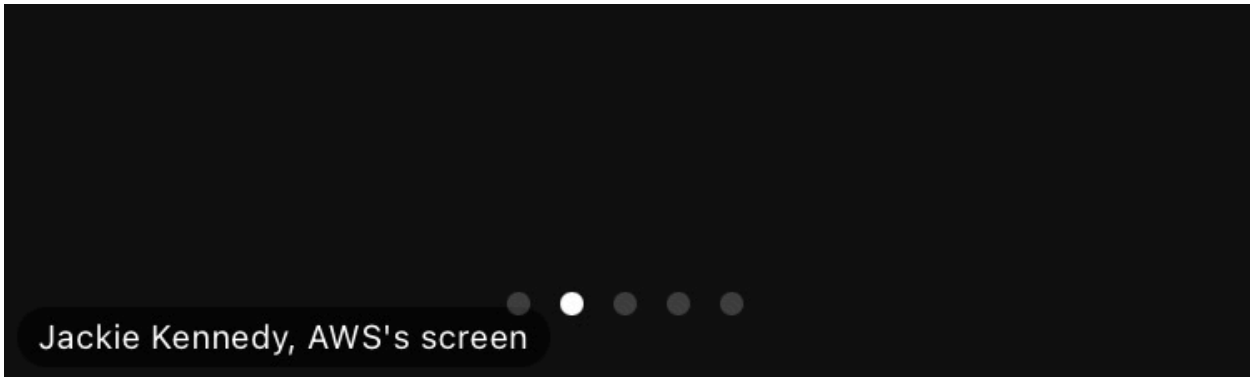
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The What Apptimize lets you AB test mobile applications. You keep the native experience without needing to push changes blindly or rely on users to update. There's a web interface to manage experiments, and a WYSIWYG interface for non-programmers. Apptimize removes the pain of designing a controlled experiment, serving variations, collecting results, and calculating statistical significance.

The Why Right now you have to be a developer and statistician to AB test a mobile app, but we make it so that non-programmers can AB test too.

The Value Apptimize makes optimization as easy for mobile as it is for web. Apptimize technology could transform the process of testing and pushing changes and be integrated into 100% of apps.

Apptimize, S13


Jackie Kennedy, AWS's screen